

**Time:** 5 minutes**Outcome:** Calculate Gains from Trade, Surplus & Winners/Losers.**Difficulty:** ●●○ Intermediate

## Gains from Trade, Surplus & Winners/Losers



### THE CORE IDEA

International trade changes consumer and producer surplus and creates net gains when the world price differs from the no-trade equilibrium price. The surplus framework converts distributional changes into a net total-surplus comparison. Trade creates net gains while redistributing surplus between buyers and sellers.



### HOW TO RECOGNIZE IT

- Trade creates net gains while redistributing surplus between buyers and sellers.
- The efficiency result is based on the net change in combined surplus, not on every group winning.
- Higher export prices redistribute surplus toward producers while creating a positive net gain in the standard model.
- Aggregate gains do not imply universal gains.

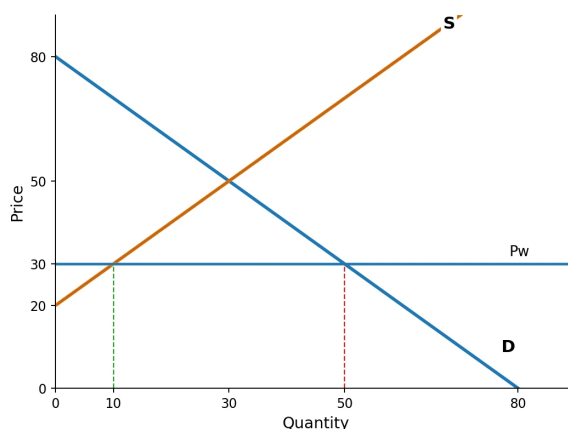


### WATCH OUT

Do not assume trade has only winners or only losers. Trade creates net gains while redistributing surplus between buyers and sellers. The efficiency result is based on the net change in combined surplus, not on every group winning.



### WORKED EXAMPLE: TRACING TRADE WINNERS AND LOSERS



At the \$30 world price, domestic producers supply 10 units and domestic consumers demand 50, so imports equal 40. Relative to the \$50 no-trade equilibrium, the two gain-from-trade triangles each have base 20 and height 20. Their combined area is  $\$200 + \$200 = \$400$ .



### CHECK YOURSELF

Why do consumers gain when a lower world price opens an import market?

**READY?**

Return to the game and master this concept.